MERCHANT AGREEMENT – PAYMENT SERVICES

This Merchant Agreement (the "Agreement") is entered into on 2019-05-20 between **Arvato Financial Solutions GmbH** (the "Provider") and **Velo Werk GmbH** (the "Merchant").

1. Subject Matter

1.1 The Provider offers the payment methods invoice, instalments and direct debit (the "Payment Methods") to consumers purchasing goods in the Merchant's online shop.

1.2 The Provider purchases the Merchant's receivables from transactions paid with a Payment Method and assumes the default risk for approved transactions in accordance with this Agreement.

2. Obligations of the Merchant

2.1 The Merchant integrates the Payment Methods via the Provider's checkout interface and transmits complete and correct order data.

2.2 The Merchant confirms each shipment without undue delay. Returns and cancellations are reported to the Provider within two (2) business days.

3. Marketing

The Merchant may use the Provider's logos for the Payment Methods in accordance with the Provider's brand guidelines.

4. Fees and Settlement

4.1 The Merchant pays a transaction fee of 1.9 % of the gross order value.

4.2 The Provider settles purchased receivables 30 days after the shipment confirmation.

5. Risk and Fraud Prevention

5.1 The Provider performs identity and credit checks and may decline a Payment Method for an order.

5.2 Fraud losses: the Provider bears the default risk for approved transactions unless the Merchant has violated its shipping or confirmation obligations.

6. Data Protection

6.1 Both parties comply with the General Data Protection Regulation (GDPR).

6.2 Insofar as one party processes personal data on behalf of the other, the parties conclude a separate data processing agreement pursuant to Art. 28 GDPR, which forms an integral part of this Agreement.

7. Liability

7.1 The parties shall be liable without limitation for damage caused intentionally or by gross negligence and for injury to life, body or health.

7.2 In all other cases, each party's total liability arising out of or in connection with this Agreement shall be limited to the total fees paid by the Merchant to the Provider in the twelve (12) months preceding the event giving rise to the claim.

8. Confidentiality

The parties treat all non-public information received under this Agreement as confidential, also for two (2) years after its termination.

9. Term and Termination

9.1 This Agreement runs for an indefinite period.

9.2 Either party may terminate this Agreement with three (3) months' notice to the end of a calendar month. The right to terminate for good cause remains unaffected.

10. Governing Law and Jurisdiction

This Agreement is governed by the laws of the Federal Republic of Germany. The courts of Frankfurt am Main have exclusive jurisdiction.

11. Final Provisions

Amendments to this Agreement must be made in writing. Should a provision be invalid, the remaining provisions remain unaffected.

For Arvato Financial Solutions GmbH: _____ For Velo Werk GmbH: _____